ASPEED

5274.TWO | Taipei Exchange | 2026-10-07

Q4 2027 model ceiling: TWD 11,177.61

Analytical Base 44/60 = 73 | Watch

20x forward-four-quarter IFRS operating profit after a small Cupola minority reserve per diluted end-window share

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in TWD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	23,323.7	20x	41.733	11,177.61

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Thesis

ASPEED Technology Inc. (Taipei Exchange: 5274) sells the control processors that let operators monitor, secure, boot and recover servers remotely. Its opportunity is to earn more per managed platform as AI systems become more modular and complex. The business already has substantial revenue and operating profit. The investment question is how much additional content it can retain after paying for newer silicon, firmware development, partner technology and customer qualification.

The analytical Base is **73/100**, derived from 44 points on the framework's 60-point rubric. The Q4 2027 modeled ceiling is approximately **NT$11,178 per share**, using 20x forward-four-quarter operating profit after a small minority-interest reserve. The valuation covers Q4 2027 through Q3 2028 and uses the share count at the end of that window. This is a conditional operating model, not management guidance or an imported broker target.

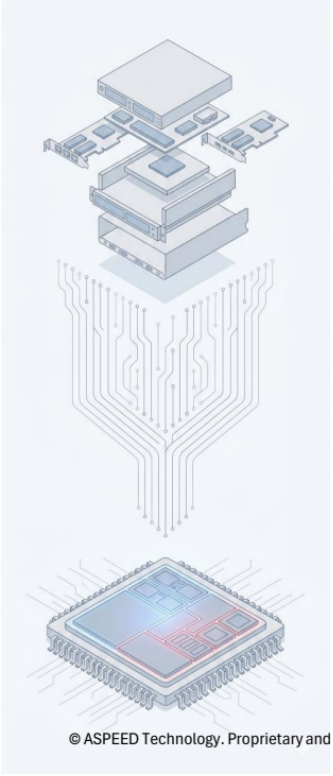
What ASPEED sells

A baseboard management controller, or BMC, is a small processor that remains useful when the main server CPU is unavailable. It can read sensors, manage power, expose a remote console, update firmware and record failures. Losing this control path can make expensive servers difficult to operate and repair. ASPEED sells chips and associated integration support; it does not receive a percentage of the GPUs' value or the customer's AI revenue. [P5, P7, P10, P14]

The central BMC is only one part of the product map. Satellite management controllers handle local functions on separate boards. Platform root-of-trust devices support protection, detection and recovery of firmware. I/O expanders connect signals that have been separated by modular server layouts. More compute, networking, power and cooling modules can require more management functions, but the number of paid ASPEED chips depends on the chosen architecture.

The 2025 annual report estimated approximately 18 million BMC-family shipments: around 13 million for general-purpose servers, three million for AI servers and two million for other data-center equipment. It also estimated roughly 80% share of the remote-management-chip market. These are company estimates, verified against the Chinese original, rather than an independently audited shipment database. The report's narrow server-demand estimate and wider equipment attachment should not be combined into a mechanically calculated market share. [P4, P5]

Reported product categories are broader than the model's drivers. In 2025, multimedia ICs represented 96.32% of revenue and included server-management products. Computer-peripheral ICs contributed 2.85%, with other revenue at 0.83%. ASPEED does not publish quarterly revenue separately for mature BMCs, AST2700, satellite controllers and platform security. The forecast decomposes those categories analytically while preserving the reported consolidated totals.



Original issuer exhibit | Four management functions: central BMC, satellite controller, platform trust and I/O expansion. Caliptra integration is a product-roadmap statement; it does not establish paid attachment on every board.

Engineering advantage and substitution

AST2700 moves the main management processor to a 12nm implementation with a quad-core Arm Cortex-A35, two Cortex-M4 processors and support for interfaces including DDR5 and PCIe Gen4. The value is in the management functions, software compatibility and integration required by the customer's platform. The core count is not a direct earnings driver. The annual report identifies firmware and driver integration across server specifications as an important entry barrier. Existing qualifications and long working relationships with OEMs and ODMs make replacement more involved than changing a generic commodity component. [P4, P5, P10]

ASPEED's own diagrams also show why content growth must be measured carefully. A single central BMC can manage several CPU cards through satellite controllers. It would be wrong to assume one full BMC sale for every CPU in that diagram. Likewise, AST1840 combines management processing with Lattice programmable logic. In an illustrated design, it replaces an earlier ASPEED I/O expander plus external programmable logic. The integrated product may raise ASPEED's invoice, but the displaced ASPEED product must be removed and Lattice's economic participation must be paid. [P7]

The May 28 joint announcement described AST1840 as the first commercial result of the partnership and expected availability in Q3 2026. Lattice's technical explanation confirms an Arm management core, programmable logic and hardware trust within the device. Those capabilities support adaptation to changing interfaces and local control requirements. They do not establish a disclosed selling price, customer order quantity or gross margin. The model treats this as credible forward evidence with a bounded incremental contribution, not as a fully quantified backlog. [P11, P15]

Competition includes other management processors, customer-developed alternatives and designs that consolidate functions into fewer devices. Open standards can help adoption while also lowering some barriers to alternatives. ASPEED specifically identifies Chinese localization policies as a risk. Its acquired Pilot product line is

already inside the company; it is not an independent competitor or a second acquisition opportunity. High current margins support the franchise, but they do not eliminate eventual price pressure or qualification risk. [P4, P5]

Ultimate Flexibility: Embedding FPGA into SoC

Partnership: Collaborating with FPGA leader **Lattice**.

Synergy: Embedding FPGA logic directly into AST1840 SoC

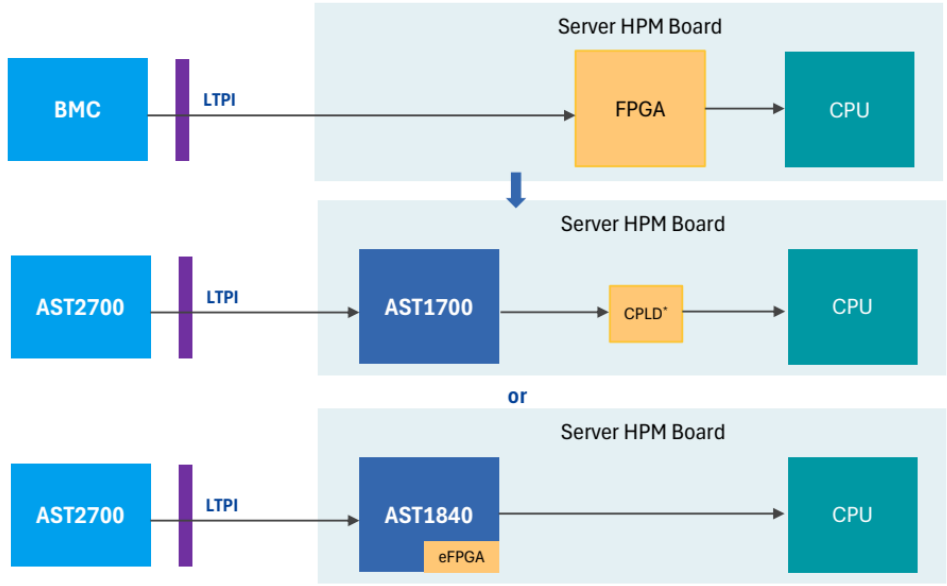
Flexibility: Delivering instant-on-programmable control for evolving server needs



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Original issuer exhibit | Original ASPEED slide confirms the Lattice FPGA partnership. The integrated device contains partner technology; the whole external FPGA wallet is not automatically ASPEED profit.

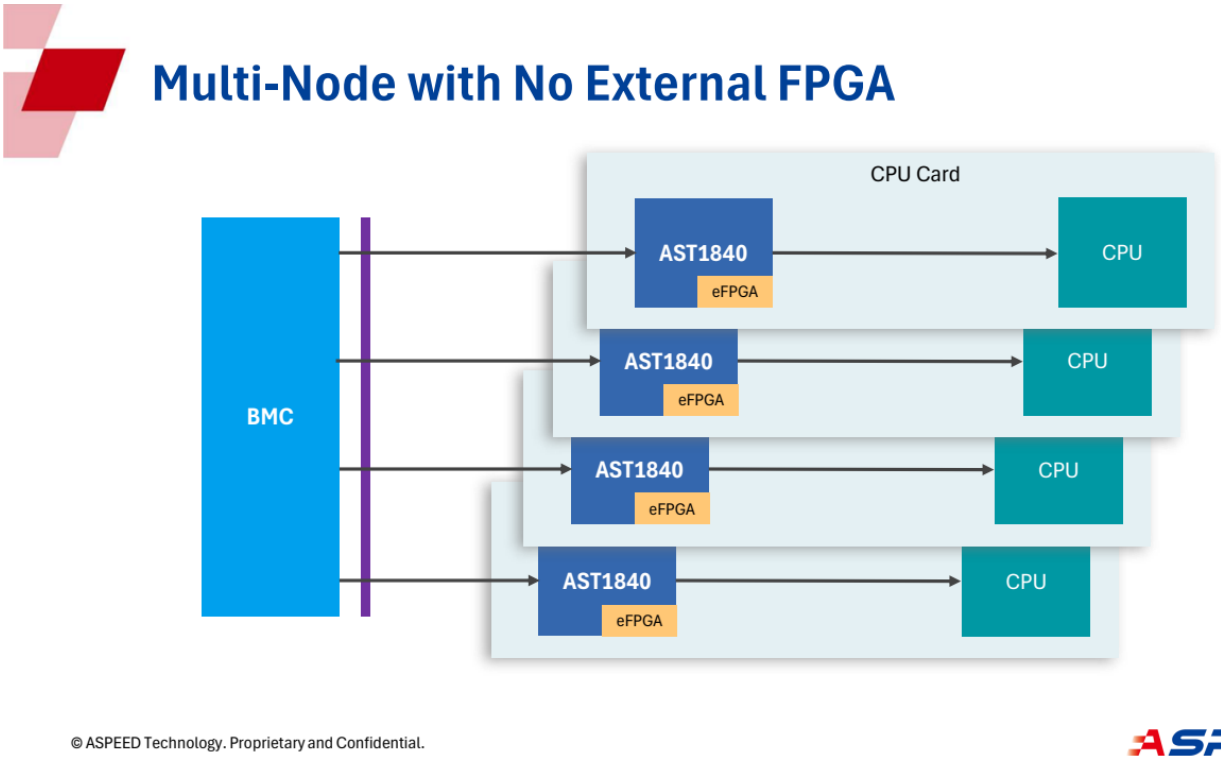
Evolving Server Architecture (Single Node)



Note: CPLD = small FPGA

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Original issuer exhibit | Single-node alternatives show AST1840 replacing AST1700 plus external programmable logic. These are alternative bills of materials, not three additive sales opportunities.



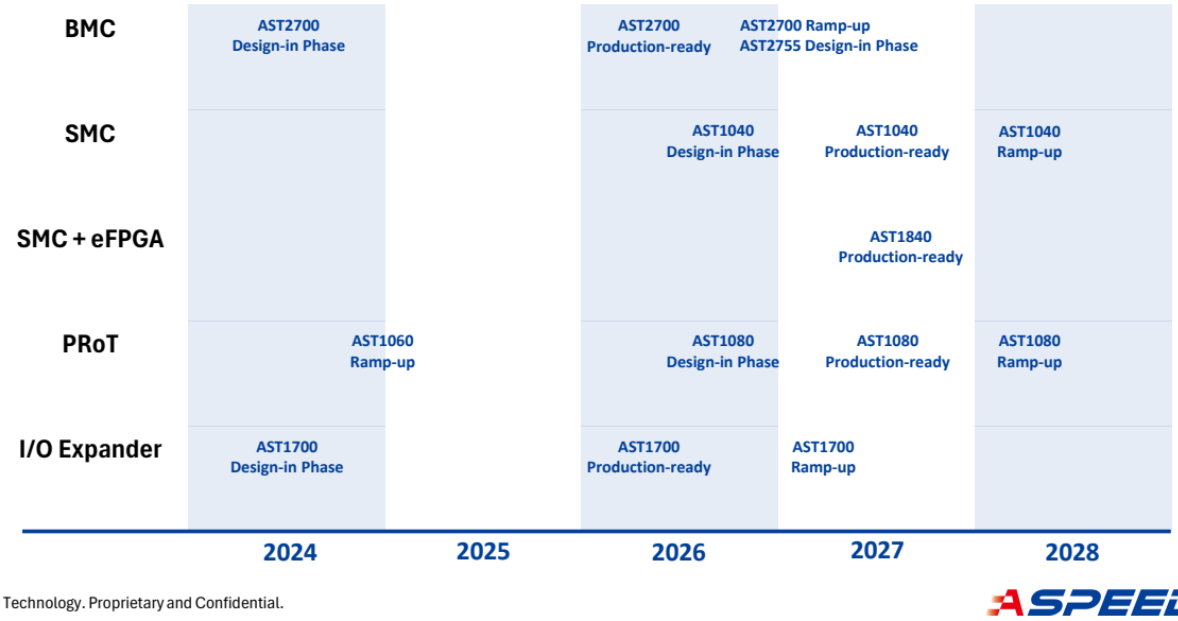
Original issuer exhibit | One central BMC can manage multiple CPU cards, each with a satellite controller. CPU count, BMC count and satellite count must be modeled separately.

Qualification and capacity

The business outsources manufacturing. Its annual report describes internal RTL design and verification, design-service partners for implementation and foundry coordination, and outsourced packaging and testing. The critical capacity measure is qualified, good chips delivered to the required platform specification. A fabless model limits factory ownership, but it does not remove dependence on foundry allocation, package substrates, testing or supplier delivery.

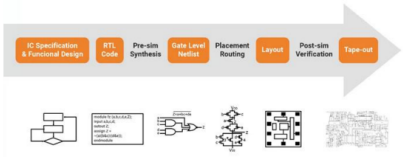
One unnamed direct supplier represented 98.18% of 2025 purchases. That is a commercial procurement concentration measure, not proof that a named foundry supplied precisely that percentage. The company describes work on alternative suppliers and warns that upstream lead times can limit shipments despite order visibility. The model therefore includes a combined delivery and qualification risk rather than assuming that every forecast order can be built immediately. [P4, P5]

Dates also need their original scope. The March annual report said AST2700 had begun contributing revenue. The current product table gives a June 2026 launch schedule. Early shipments and formal launch need not mean broad volume qualification. Similarly, the earlier management roadmap labels AST1840 production readiness in 2027, while the May release expected Q3 2026 availability. The incremental satellite branch begins in 2027 and requires accepted commercial shipments. No numerical total qualified-capacity schedule was disclosed. [P5, P8, P14, P15]



Original issuer exhibit | The earlier roadmap distinguishes design-in, production-ready and ramp-up. Its 2027 AST1840 production-ready label differs from the May partner release's expected Q3 2026 availability; initial availability and volume qualification are not interchangeable.

The following diagram illustrates the IC product design and manufacturing flow:



(3) Supply of Essential Raw Materials

ASPEED Technology, an IC design company, works with design service companies (Turnkey Service) to coordinate with midstream and downstream manufacturers in the product manufacturing process. When selecting a design service company, we consider not only the completeness of the silicon IP and APR (Auto Place & Route) capabilities but also the partnerships they have with foundries and test packaging factories. The process technology and yield quality of the foundry are critical to the successful manufacturing of IC products. Currently, the materials and products provided are of good condition and high quality.

(4) Major Suppliers Accounting for over 10% of the Annual Total Purchase in either 2024 or 2025

Unit：NT$1,000

2024				2025			
Supplier	Amount Purchase	% of Total Purchases	Relations	Supplier	Amount Purchase	% of Total Purchases	Relations
A	2,149,818	96.12%	None	A	2,585,513	98.18%	None
B	33,022	1.48%	None	C	32,513	1.23%	None
Other	53,643	2.40%	None	Other	15,542	0.59%	None
Total	2,236,483	100.00%		Total	2,633,568	100.00%	

Reasons for changes:
ASPEED Technology primarily procures chips from foundries through outsourced design service providers. As wafer manufacturing is a highly technology- and capital-intensive industry, only a limited number of companies currently provide such services. Therefore, ASPEED maintains long-term cooperative relationships with its suppliers.

119

Original issuer exhibit | Original manufacturing flow and supplier concentration, in NT$ thousands. Supplier A represented 98.18% of 2025 purchases. This is a direct commercial supplier, not proof that one named foundry has the same percentage.

Actual results and the forecast anchor

ASPEED generated NT$9.085 billion of revenue in 2025, with a 68.01% gross margin and 51.30% operating margin. H1 2026 revenue was NT$7.018 billion and IFRS operating profit NT$3.745 billion. Q2 alone produced NT$3.871 billion of revenue, NT$2.788 billion of gross profit and NT$2.086 billion of operating profit. Operating expense was NT$701.636 million, including research, selling and administration. Investment gains and interest income are excluded from the valuation's operating-profit numerator. [P1, P2, P5, P6]

The issuer's July, August and September releases sum to **NT$4.786281 billion of Q3 revenue**. This is an observed monthly-sales aggregate, not a Q3 earnings release. Gross margin, operating expense and operating profit for that quarter are still forecasts. The public financial-information record was updated October 5. Its zero entries for unreleased later months must not be read as actual zero sales. [P9]

The September presentation guides **Q4 2026 revenue to NT$6.6-6.8 billion and gross margin to 67-68%**, based on USD/TWD32.0. The reference uses the midpoints: NT$6.7 billion and 67.5%. It does not extend Q2's 72% gross margin into the new revenue level. The earlier June presentation's Q3 revenue range of NT$4.1-4.3 billion is now superseded by the observed monthly sales. Two distinct management presentations were reviewed;

duplicate conference postings do not create independent evidence, and complete Q&A transcripts were unavailable. [P7, P8]

ASPEED TECHNOLOGY INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In Thousands of New Taiwan Dollars, Except Earnings Per Share)

	For the Three Months Ended June 30				For the Six Months Ended June 30			
	2026		2025		2026		2025	
	Amount	%	Amount	%	Amount	%	Amount	%
OPERATING REVENUE (Note 24)								
Sale	$ 3,863,970	100	$ 2,246,280	100	$ 6,986,983	100	$ 4,311,300	100
Other operating revenue	7,439	-	267	-	31,183	-	365	-
Total operating revenue	3,871,409	100	2,246,547	100	7,018,166	100	4,311,665	100
OPERATING COSTS (Notes 11 and 25)	1,083,907	28	721,678	32	2,053,647	29	1,419,033	33
GROSS PROFIT	2,787,502	72	1,524,869	68	4,964,519	71	2,892,632	67
OPERATING EXPENSES (Note 25)								
Selling and marketing expenses	102,756	3	32,392	1	152,183	3	56,523	1
General and administrative expenses	170,724	4	85,170	4	288,965	4	157,718	4
Research and development expenses	428,156	11	223,223	10	778,463	11	467,244	11
Total operating expenses	701,636	18	340,785	15	1,219,611	18	681,485	16
INCOME FROM OPERATIONS	2,085,866	54	1,184,084	53	3,744,908	53	2,211,147	51
NON-OPERATING INCOME AND EXPENSES (Note 25)								
Interest income	40,843	1	39,913	2	69,822	1	65,712	2
Other income	25,505	1	16,841	-	45,395	1	32,144	1
Other gains and losses	114,770	3	(453,105)	(20)	176,100	2	(415,191)	(10)
Finance costs	(1,534)	-	(966)	-	(2,650)	-	(1,945)	-
Total non-operating income and expenses, net	179,584	5	(397,317)	(18)	288,667	4	(319,280)	(7)
INCOME BEFORE INCOME TAX FROM CONTINUING OPERATIONS	2,265,450	59	786,767	35	4,033,575	57	1,891,867	44
INCOME TAX EXPENSE (Notes 4 and 26)	423,700	11	157,670	7	777,550	11	376,000	9
NET INCOME FOR THE PERIOD	1,841,750	48	629,097	28	3,256,025	46	1,515,867	35
OTHER COMPREHENSIVE INCOME (LOSS)								
Items that will not be reclassified subsequently to profit or loss:								
Unrealized (loss) gain on investments in equity instruments at fair value through other comprehensive income (Note 23)	(32,343)	(1)	(13,277)	(1)	(30,422)	-	(11,913)	-

(Continued)

- 4 -

Original issuer exhibit | Original income statement, NT$ thousands. Q2 revenue NT$3,871.409m and operating profit NT$2,085.866m; interest and investment gains sit below operating profit.



2026 Q4 Business Outlook

Based on the exchange rate assumption of 1 US dollar to 32.0 NT dollars, management expects:

- Consolidated Revenue: Around **NT$6.6 billion ~ 6.8 billion**
- Gross margin: **67% ~ 68%**

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Original issuer exhibit | Management's Q4 2026 guidance: NT$6.6-6.8bn sales and 67-68% gross margin at USD/TWD32.0. This is guidance, not an achieved quarter or a 2027 forecast.

Revenue, expense and probability bridge

The model separates mature BMCs, newer BMCs, peripheral management devices and the smaller AV/Cupola business. Q3 and Q4 2026 unit counts are calibrated to the observed or guided revenue using explicitly assumed mix and prices. The assumed mature/new BMC prices begin at NT$500/NT$1,200; these are analytical proxies, not disclosed ASPEED price lists. New-generation unit mix is 35% and 55% in those two quarters. Product margins reconcile exactly to the Q4 guidance midpoint.

The reference already assumes substantial adoption: 29.4 million BMC units in 2027, increasing to 37.8 million in 2030, compared with the company's estimated 18 million in 2025. New-generation unit mix reaches 65-82% across 2027. Peripheral management revenue also grows before any incremental probability branch. These are demanding assumptions about accepted units and product content. There is no undisclosed factory-capacity certificate behind them. The downside sensitivity is therefore as important as the incremental upside branches.

Four explicit adjustments sit above that reference. A **55% probability** applies to faster BMC migration: ten extra percentage points of the same unit pool migrate to newer chips in 2027, five points in 2028 and no incremental shift thereafter. New sales replace mature-chip sales one-for-one. Gross profit is the difference between the two products' gross profits; additional qualification expense and profit-related compensation are deducted.

A **45% probability** applies to additional integrated satellite-controller opportunities. Conditional annual opportunities rise from one million devices in 2027 to four million in 2030. The assumed NT$800 integrated invoice loses NT$250 of displaced ASPEED I/O content, then receives a further 50% overlap reduction because the reference peripheral line already grows. Conditional net annual revenue is consequently NT$275 million in 2027 and NT$1.1 billion in 2030, before probability weighting. Partner and manufacturing costs, displaced gross profit, application support and compensation all reduce retained earnings.

A **30% probability** applies to bounded price premiums on only 20% of mature-BMC reference sales: 5% in 2027, 8% in 2028, 4% in 2029 and zero thereafter. This is a separate repriceable legacy pool, not a second uplift to AST2700's assumed price premium. Customer switching costs and the cost of waiting support a nonzero possibility; lower Q4 margin guidance and supplier bargaining limit conviction. No same-part price increase is presented as an announced fact.

A **25% probability** applies to a combined execution and demand shortfall: 10% lost or delayed BMC/peripheral revenue plus one percentage point of extra cost on retained sales in 2027-28, with half the shock in 2029-30. Fixed design and administration costs remain. Only compensation tied to profit falls. There is no second utilization penalty on the same missing units.

Employee and director compensation is material. H1 disclosures used 8% and 1% accrual rates on the specified pre-compensation profit base. The model retains a combined 9% charge on operating contribution before that bonus, alongside fixed R&D, administration, support and share-based expense. This is an operating approximation; investment gains and exact legal bonus accounting can cause differences. It avoids treating every incremental gross-profit dollar as earnings. [P2]

Funding, ownership and dilution

June cash was NT$6.743 billion, with another NT$1.912 billion in separately classified time deposits, including NT$31.850 million pledged. No bank borrowing or convertible debt appeared in the June balance sheet; lease liabilities totaled NT$300.486 million. H1 operating cash flow was NT$3.155 billion. PPE cash spending was NT$318.383 million, with NT$10.325 million of intangible purchases. [P1, P2]

The funding bridge does not simply carry June cash forward. It pays the NT$3.024 billion June dividend payable, NT$884.363 million compensation payable and NT$800.965 million current-tax payable once in Q3. New-quarter tax and expense are also paid in the cash proxy. Thereafter, working capital consumes 55% of incremental quarterly revenue; modeled dividends use 75% of after-tax owner operating profit. H2 capital and intangible spending is NT$400 million, rising to NT$900 million in 2027. These are cash-planning assumptions, not a new issuer capex forecast. Separate deposits and securities remain unspent. Minimum modeled cash is about NT$3.445 billion, and the active path requires no new borrowing.

Cupola360 remains consolidated. Employee option exercise in April reduced ASPEED's ownership to 90.76%; it did not issue new parent shares. Because standalone Cupola operating profit is not disclosed, the model subtracts 9.24% of a small estimated AV/Cupola operating contribution. The main server-product branches do not affect that reserve, avoiding a fixed minority deduction against probability-changing subsidiary earnings. [P2]

The July 13 capitalization distributed 10% bonus shares. The October 6 exchange record shows **41.582953 million issued shares**. Historical EPS needs consistent treatment: Q2's reported NT$44.27 is already adjusted, while the old Q1 NT$37.41 is not. The model uses current shares once, adds a 0.05-million employee-share reserve and another 0.05 million of prospective awards annually. These reserves are assumptions; they are not another annual 10% bonus. Historical canceled restricted shares are already reflected and are not removed again. [P2, P12]

ASPEED TECHNOLOGY INC. AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS
(In Thousands of New Taiwan Dollars)

ASSETS	June 30, 2026 Amount	%	December 31, 2025 Amount	%	June 30, 2025 Amount	%
CURRENT ASSETS						
Cash and cash equivalents (Note 6)	$ 6,743,438	47	$ 5,788,290	56	$ 5,244,060	58
Financial assets at fair value through profit or loss - current (Note 7)	708,772	5	510,006	5	393,991	4
Financial assets at amortized cost - current (Notes 9 and 33)	1,911,850	13	-	-	-	-
Trade receivables, net (Notes 10 and 24)	2,503,259	18	1,605,970	15	1,437,577	16
Current tax assets (Note 26)	56	-	32	-	19	-
Inventories (Note 11)	470,533	3	279,678	3	234,101	3
Prepayments and other current assets (Note 17)	186,427	1	224,228	2	51,945	1
Total current assets	12,524,335	87	8,408,204	81	7,361,693	82
NON-CURRENT ASSETS						
Financial assets at fair value through profit or loss - non-current (Note 7)	116,466	1	107,359	1	89,379	1
Financial assets at fair value through other comprehensive income - non-current (Note 8)	177,212	1	208,903	2	192,706	2
Financial assets at amortized cost- non-current (Note 9)	113,583	1	175,546	2	167,026	2
Property, plant and equipment (Note 13)	475,871	3	409,027	4	293,859	3
Right-of-use assets (Note 14)	298,071	2	314,457	3	182,251	2
Goodwill (Note 15)	369,040	3	369,040	4	369,040	4
Other intangible assets, net (Note 16)	169,912	1	238,637	2	251,440	3
Deferred tax assets (Note 26)	67,174	1	59,262	1	103,940	1
Refundable deposits (Note 17)	15,132	-	15,102	-	9,538	-
Other non-current assets (Note 17)	-	-	28,118	-	2,357	-
Total non-current assets	1,802,461	13	1,925,451	19	1,661,536	18
TOTAL	$ 14,326,796	100	$ 10,333,655	100	$ 9,023,229	100

LIABILITIES AND EQUITY	June 30, 2026 Amount	%	December 31, 2025 Amount	%	June 30, 2025 Amount	%
CURRENT LIABILITIES						
Short-term bills payable (Note 18)	$ -	-	$ -	-	$ 29,971	-
Trade payables (Note 19)	812,105	6	615,873	6	379,907	4
Accrued compensation employees and remuneration of directors (Note 25)	884,363	6	610,954	6	500,660	6
Dividends payables (Note 23)	3,024,215	21	-	-	1,966,675	22
Other payables (Note 20)	463,697	3	452,883	5	187,493	2
Current tax liabilities (Note 26)	800,965	6	536,935	5	389,729	4
Provisions - current (Note 21)	97,988	1	82,195	1	72,254	1
Lease liabilities - current (Note 14)	36,191	-	33,874	-	24,986	-
Other current liabilities (Notes 20 and 24)	81,020	-	110,867	1	126,253	2
Total current liabilities	6,200,544	43	2,443,581	24	3,677,928	41
NON-CURRENT LIABILITIES						
Deferred tax liabilities (Note 26)	34,311	-	28,739	-	2,826	-
Lease liabilities - non-current (Note 14)	264,295	2	280,027	3	159,446	2
Provisions - non-current (Note 21)	10,537	-	10,537	-	6,447	-
Total non-current liabilities	309,143	2	319,303	3	168,719	2
Total liabilities	6,509,687	45	2,762,884	27	3,846,647	43
SHAREHOLDERS' EQUITY (Note 23)						
Capital						
Share capital	378,027	3	378,027	4	378,207	4
Share dividends to be distributed	37,803	-	-	-	-	-
Total share capital	415,830	3	378,027	4	378,207	4
Capital surplus	1,489,737	10	1,507,659	14	1,539,778	17
Retained earnings						
Legal reserve	1,550,547	11	1,157,766	11	1,157,766	13
Special reserve	30,287	-	28,393	-	28,393	-
Unappropriated earnings	4,365,464	31	4,529,213	44	2,117,273	24
Total retained earnings	5,946,298	42	5,715,372	55	3,303,432	37
Other equity	(60,387)	-	(30,287)	-	(44,835)	(1)
Total equity attributable to owners of the Company	7,791,478	55	7,570,771	73	5,176,582	57
NON-CONTROLLING INTERESTS	25,631	-	-	-	-	-
Total equity	7,817,109	55	7,570,771	73	5,176,582	57
TOTAL	$ 14,326,796	100	$ 10,333,655	100	$ 9,023,229	100

The accompanying notes are an integral part of the consolidated financial statements.

Original issuer exhibit | June balance sheet, NT$ thousands. Cash NT$6,743.438m; separate time deposits NT$1,911.850m; dividends payable NT$3,024.215m; lease liabilities NT$300.486m. The dividend is a funding use, not an operating expense.

ASPEED TECHNOLOGY INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS
(In Thousands of New Taiwan Dollars)

	For the Six Months Ended June 30	
	2026	**2025**
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	$ 4,033,575	$ 1,891,867
Adjustments for:		
Depreciation expense	122,323	80,909
Amortization expense	83,917	78,215
Net (gain) loss on fair value changes of financial assets designated as at fair value through profit or loss	(121,586)	4,520
Finance costs	2,650	1,945
Interest income	(69,822)	(65,712)
Compensation cost of employee restricted shares	20,208	3,949
Gain on disposal of financial assets	-	(1,525)
(Reversal of) write-down of inventories	(674)	1,828
Net loss on foreign currency exchange	6,223	309,031
Recognition of provisions	15,793	7,936
Changes in operating assets and liabilities:		
Trade receivables	(889,615)	(91,776)
Inventories	(190,181)	121,242
Prepayments and other current assets	40,410	135,318
Trade payables	192,484	(28,149)
Other payables	184,461	9,467
Other current liabilities	(30,100)	(4,083)
Payables for compensation of employees and remuneration of directors	273,409	137,434
Cash generated from operations	3,673,475	2,592,416
Interest paid	(2,650)	(1,945)
Income taxes paid	(515,884)	(498,245)
Net cash generated from operating activities	3,154,941	2,092,226
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of financial assets at fair value through other comprehensive income	-	(29,571)
Purchase of financial assets at amortized cost	(1,911,850)	(49,770)
Purchase of financial assets at fair value through profit or loss	(86,289)	(72,688)
Proceeds from sale of financial assets at amortized cost	64,528	-
Proceeds from sale of financial assets at fair value through profit or loss	-	24,014
Payments for Property, plant and equipment	(318,383)	(233,834)
Increase in refundable deposits	(30)	-
Decrease in refundable deposits	-	24
Payments for intangible assets	(10,325)	(3,855)
Interest received	64,460	66,227
Net cash used in investing activities	(2,197,889)	(299,453)

(Continued)

Original issuer exhibit | H1 operating cash flow NT$3,154.941m and PPE cash purchases NT$318.383m. The NT$1,911.850m time-deposit purchase is a treasury transfer already reflected in June cash.

The weighted average number of shares outstanding used for the earnings per share computation was adjusted retroactively for the issuance of bonus shares on July 13, 2026. The basic and diluted earnings per share adjusted retrospectively for the three months and six months ended June 30, 2025 were as follows:

Unit: NT$ Per Share

	Before Retrospective Adjustment		After Retrospective Adjustment	
	For the Three Months Ended June 30, 2025	For the Six Months Ended June 30, 2025	For the Three Months Ended June 30, 2025	For the Six Months Ended June 30, 2025
Basic earnings per share	$ 16.65	$ 40.11	$ 15.13	$ 36.46
Diluted earnings per share	$ 16.53	$ 39.93	$ 15.11	$ 36.39

The earnings and weighted-average number of ordinary shares outstanding used in the computation of earnings per share are as follows:

Net Income

	For the Three Months Ended June 30		For the Six Months Ended June 30	
	2026	2025	2026	2025
Earnings used in the computation of basic and diluted earnings per share	$ 1,840,866	$ 629,097	$ 3,255,141	$ 1,515,867

Unit: Thousands of shares

	For the Three Months Ended June 30		For the Six Months Ended June 30	
	2026	2025	2026	2025
Weighted average number of ordinary shares used in the computation of basic earnings per share	41,583	37,793	41,583	37,793
Effect of potentially dilutive ordinary shares				
Compensation of employees	21	58	39	138
Restricted shares to employees	-	1	-	28
Weighted average number of ordinary shares used in the computation of diluted earnings per share	41,604	37,852	41,622	37,959

The Group may settle the compensation in cash or shares; therefore, the Group assumes that the entire amount of the compensation will be settled in shares, and the resulting potential shares are included in the weighted average number of shares outstanding used in the computation of diluted earnings per share, as the effect is dilutive. Such dilutive effect of the potential shares is included in the computation of diluted earnings per share until the number of shares to be distributed to employees is resolved in the following year.

Original issuer exhibit | July 13 bonus-share adjustment and diluted-share reconciliation. Reported Q2 EPS is already retrospectively adjusted; older Q1 EPS in the deck is on the earlier share basis.

Valuation, risks and next evidence

The modeled annual operating-profit path is approximately NT$19.15 billion in 2027, NT$24.43 billion in 2028, NT$27.54 billion in 2029 and NT$28.59 billion in 2030. The slowing rate reflects mature adoption, lower assumed prices and margin pressure. The Q4 2027 ceiling uses the quarter plus the next three quarters and 41.732953 million end-window diluted shares. It adds no cash, investment gains or separate software value. The method is an operating-profit convention, not a claim that operating profit equals distributable net income.

With all probability increments removed, the same-window reference ceiling is approximately NT$11,280. A separate 10% reference revenue shortfall at unchanged product gross margins and fixed operating expense lowers it to about NT$9,888. A one-percentage-point change in gross margin changes that reference ceiling by approximately NT$208 per share. These are diagnostics, not additional active shocks.

The next evidence should resolve shipment mix, accepted AST1840 volumes, the retained margin after partner costs and the expense needed to support new platforms. Q3 earnings will test the gap between monthly sales and profit; Q4 results will test the large guided step-up. Procurement concentration, Chinese localization, a slower customer replacement cycle and stronger alternatives remain material risks. Currency deserves special care: the

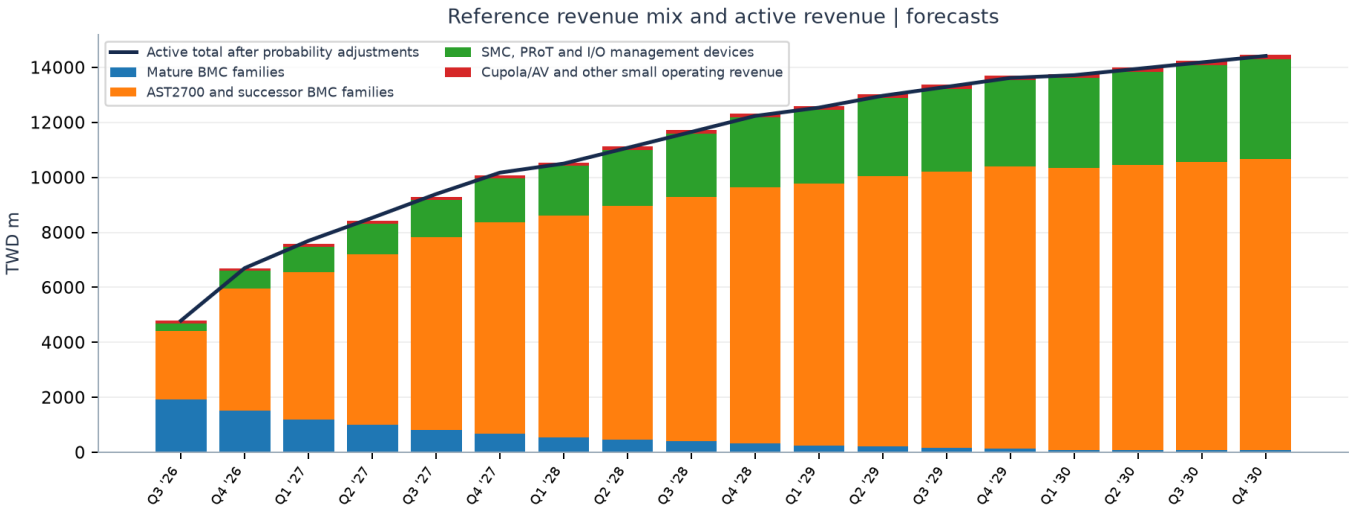
annual report discusses natural hedging, but the H1 note describes a different functional-currency cost mix, so complete protection should not be assumed.

The score reflects a strong established franchise without granting certainty to the forecast: Core 18/20, Cycle 8/10, TAM 8/10, Catalysts 4/5, Macro 7/10 and Alpha 3/5, less four risk points. The resulting 44/60 rounds to Base73. Better disclosure of product economics and qualified shipments would improve the evidence behind the model; a larger market narrative by itself would not.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	18	See the scoring evidence and distinct risk classes in the analysis.
Cycle	8	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	7	See the scoring evidence and distinct risk classes in the analysis.
Alpha	3	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-4	See the scoring evidence and distinct risk classes in the analysis.
Total	44/60	Rounded Base 73. Both artifact and new workbook row use this score; this is not a manual override.

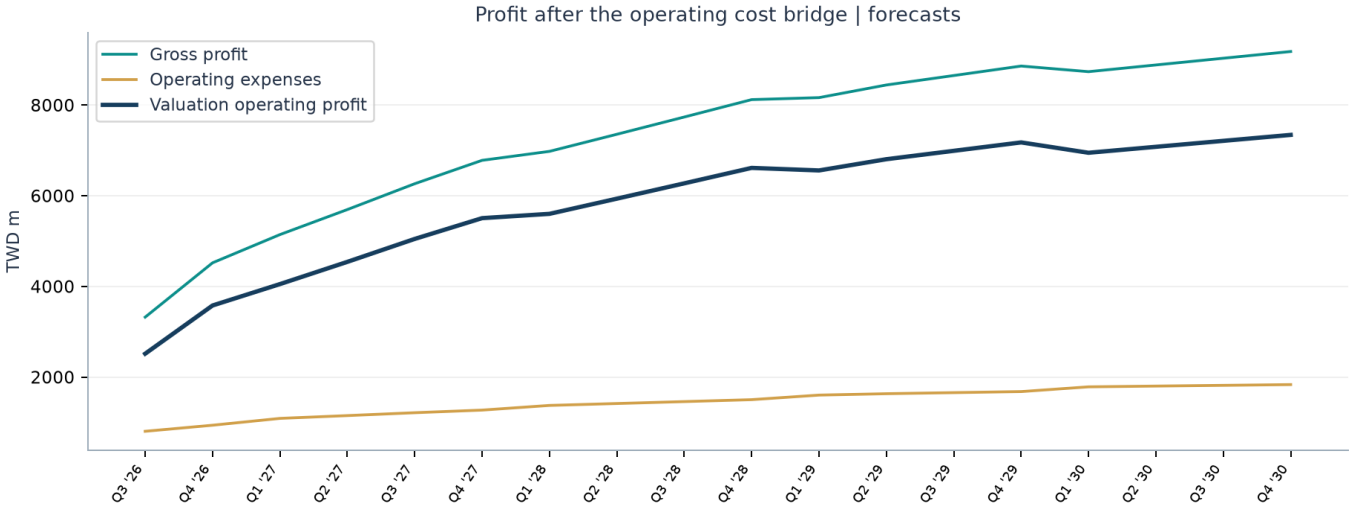
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	4,786.3	0.0	4,786.3
Q4 2026	6,700.0	0.0	6,700.0
Q1 2027	7,575.4	117.3	7,692.6
Q2 2027	8,421.9	107.3	8,529.3
Q3 2027	9,295.1	96.8	9,391.9
Q4 2027	10,083.1	88.5	10,171.6
Q1 2028	10,544.8	-43.2	10,501.6
Q2 2028	11,128.0	-54.2	11,073.9
Q3 2028	11,716.8	-65.3	11,651.5
Q4 2028	12,311.1	-76.6	12,234.5
Q1 2029	12,598.9	-62.4	12,536.6
Q2 2029	13,036.1	-67.9	12,968.3
Q3 2029	13,363.7	-72.0	13,291.7
Q4 2029	13,692.7	-76.2	13,616.6
Q1 2030	13,763.4	-46.4	13,717.0
Q2 2030	13,999.2	-49.2	13,949.9
Q3 2030	14,235.0	-52.1	14,182.8
Q4 2030	14,470.8	-55.0	14,415.7

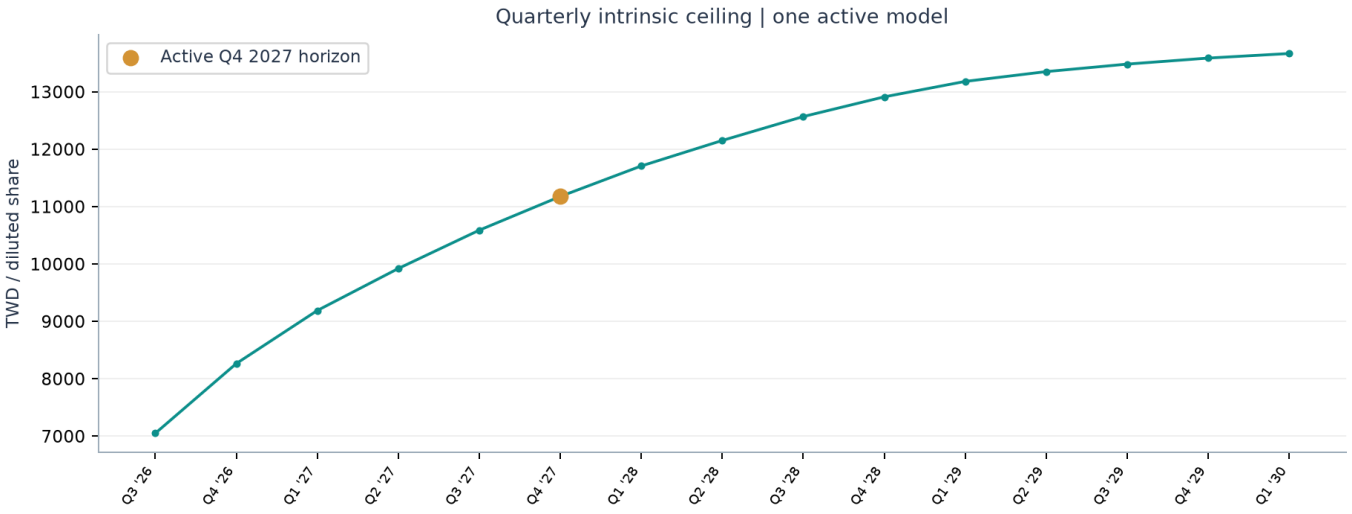
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	4,786.3	3,324.0	805.8	2,517.2	52.6%
Q4 2026	6,700.0	4,522.5	939.8	3,581.3	53.5%
Q1 2027	7,692.6	5,145.0	1,090.5	4,053.0	52.7%
Q2 2027	8,529.3	5,697.1	1,152.1	4,543.3	53.3%
Q3 2027	9,391.9	6,267.0	1,215.8	5,049.4	53.8%
Q4 2027	10,171.6	6,783.3	1,273.4	5,507.9	54.1%
Q1 2028	10,501.6	6,981.2	1,376.6	5,602.8	53.4%
Q2 2028	11,073.9	7,358.2	1,418.7	5,937.6	53.6%
Q3 2028	11,651.5	7,738.7	1,461.1	6,275.5	53.9%
Q4 2028	12,234.5	8,122.7	1,503.9	6,616.5	54.1%
Q1 2029	12,536.6	8,166.6	1,604.3	6,560.3	52.3%
Q2 2029	12,968.3	8,445.8	1,635.4	6,808.2	52.5%
Q3 2029	13,291.7	8,654.2	1,658.6	6,993.1	52.6%
Q4 2029	13,616.6	8,863.3	1,681.9	7,178.8	52.7%
Q1 2030	13,717.0	8,739.2	1,786.6	6,950.3	50.7%
Q2 2030	13,949.9	8,887.4	1,803.1	7,081.7	50.8%
Q3 2030	14,182.8	9,035.7	1,819.7	7,213.2	50.9%
Q4 2030	14,415.7	9,183.9	1,836.2	7,344.6	50.9%

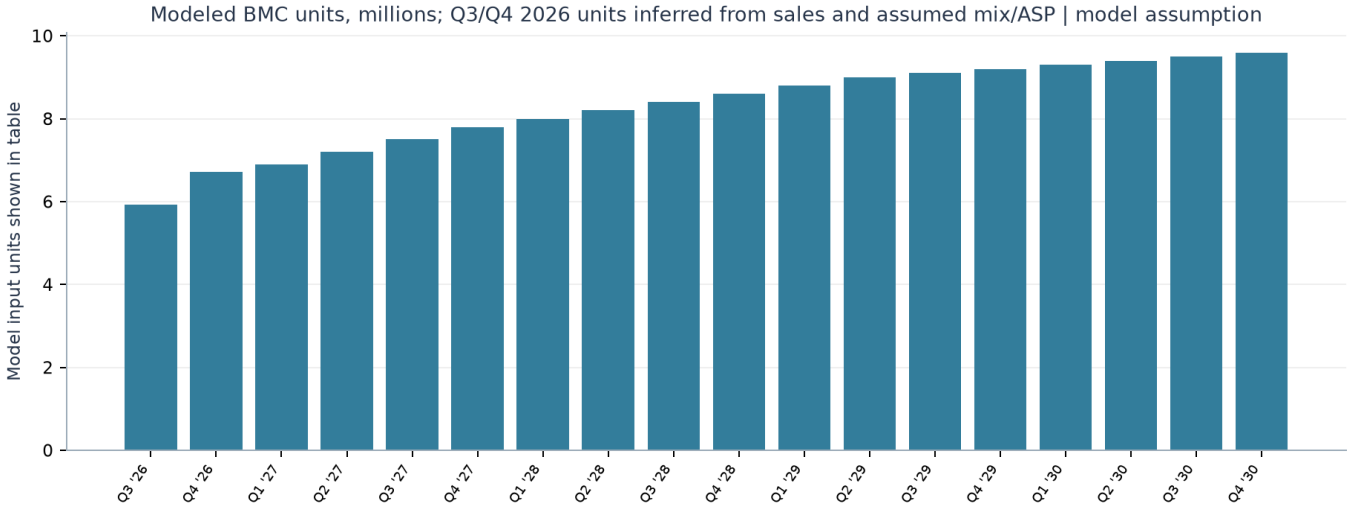
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	14,694.8	20x	41.683	7,050.77
Q4 2026	Q4 2026 to Q3 2027	17,227.0	20x	41.683	8,265.74
Q1 2027	Q1 2027 to Q4 2027	19,153.6	20x	41.683	9,190.15
Q2 2027	Q2 2027 to Q1 2028	20,703.4	20x	41.733	9,921.83
Q3 2027	Q3 2027 to Q2 2028	22,097.6	20x	41.733	10,590.02
Q4 2027	Q4 2027 to Q3 2028	23,323.7	20x	41.733	11,177.61
Q1 2028	Q1 2028 to Q4 2028	24,432.4	20x	41.733	11,708.91
Q2 2028	Q2 2028 to Q1 2029	25,389.9	20x	41.783	12,153.22
Q3 2028	Q3 2028 to Q2 2029	26,260.5	20x	41.783	12,569.95
Q4 2028	Q4 2028 to Q3 2029	26,978.1	20x	41.783	12,913.45
Q1 2029	Q1 2029 to Q4 2029	27,540.4	20x	41.783	13,182.58
Q2 2029	Q2 2029 to Q1 2030	27,930.4	20x	41.833	13,353.29
Q3 2029	Q3 2029 to Q2 2030	28,203.9	20x	41.833	13,484.05
Q4 2029	Q4 2029 to Q3 2030	28,423.9	20x	41.833	13,589.25
Q1 2030	Q1 2030 to Q4 2030	28,589.7	20x	41.833	13,668.52

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Modeled BMC units, millions; Q3/Q4 2026 units inferred from sales and assumed mix/ASP	Status
Q3 2026	5.928	Monthly revenue aggregate observed; gross profit and OP remain model assumptions
Q4 2026	6.723	Revenue/GM at issuer guidance midpoint; product allocation and opex are assumptions
Q1 2027	6.900	Model assumption
Q2 2027	7.200	Model assumption
Q3 2027	7.500	Model assumption
Q4 2027	7.800	Model assumption
Q1 2028	8.000	Model assumption
Q2 2028	8.200	Model assumption
Q3 2028	8.400	Model assumption
Q4 2028	8.600	Model assumption
Q1 2029	8.800	Model assumption
Q2 2029	9.000	Model assumption
Q3 2029	9.100	Model assumption
Q4 2029	9.200	Model assumption
Q1 2030	9.300	Model assumption
Q2 2030	9.400	Model assumption
Q3 2030	9.500	Model assumption
Q4 2030	9.600	Model assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Mature BMC families	1,926.6	70.0%	1,348.6
Q3 2026	AST2700 and successor BMC families	2,489.7	70.0%	1,742.8
Q3 2026	SMC, PRoT and I/O management devices	280.0	67.0%	187.6
Q3 2026	Cupola/AV and other small operating revenue	90.0	50.0%	45.0
Q4 2026	Mature BMC families	1,512.7	70.0%	1,058.9
Q4 2026	AST2700 and successor BMC families	4,437.3	67.1%	2,978.1
Q4 2026	SMC, PRoT and I/O management devices	650.0	67.0%	435.5
Q4 2026	Cupola/AV and other small operating revenue	100.0	50.0%	50.0
Q1 2027	Mature BMC families	1,183.3	70.0%	828.3
Q1 2027	AST2700 and successor BMC families	5,382.0	67.0%	3,605.9
Q1 2027	SMC, PRoT and I/O management devices	900.0	67.0%	603.0
Q1 2027	Cupola/AV and other small operating revenue	110.0	50.0%	55.0
Q2 2027	Mature BMC families	987.8	70.0%	691.5
Q2 2027	AST2700 and successor BMC families	6,220.8	67.0%	4,167.9
Q2 2027	SMC, PRoT and I/O management devices	1,100.0	67.0%	737.0
Q2 2027	Cupola/AV and other small operating revenue	113.3	50.0%	56.6
Q3 2027	Mature BMC families	808.5	70.0%	565.9
Q3 2027	AST2700 and successor BMC families	7,020.0	67.0%	4,703.4
Q3 2027	SMC, PRoT and I/O management devices	1,350.0	67.0%	904.5
Q3 2027	Cupola/AV and other small operating revenue	116.6	50.0%	58.3
Q4 2027	Mature BMC families	688.0	70.0%	481.6
Q4 2027	AST2700 and successor BMC families	7,675.2	67.0%	5,142.4
Q4 2027	SMC, PRoT and I/O management devices	1,600.0	67.0%	1,072.0
Q4 2027	Cupola/AV and other small operating revenue	119.9	50.0%	60.0
Q1 2028	Mature BMC families	537.6	70.0%	376.3

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2028	AST2700 and successor BMC families	8,084.0	67.0%	5,416.3
Q1 2028	SMC, PRoT and I/O management devices	1,800.0	66.0%	1,188.0
Q1 2028	Cupola/AV and other small operating revenue	123.2	50.0%	61.6
Q2 2028	Mature BMC families	472.3	70.0%	330.6
Q2 2028	AST2700 and successor BMC families	8,478.8	67.0%	5,680.8
Q2 2028	SMC, PRoT and I/O management devices	2,050.0	66.0%	1,353.0
Q2 2028	Cupola/AV and other small operating revenue	126.9	50.0%	63.4
Q3 2028	Mature BMC families	403.2	70.0%	282.2
Q3 2028	AST2700 and successor BMC families	8,883.0	67.0%	5,951.6
Q3 2028	SMC, PRoT and I/O management devices	2,300.0	66.0%	1,518.0
Q3 2028	Cupola/AV and other small operating revenue	130.6	50.0%	65.3
Q4 2028	Mature BMC families	330.2	70.0%	231.2
Q4 2028	AST2700 and successor BMC families	9,296.6	67.0%	6,228.7
Q4 2028	SMC, PRoT and I/O management devices	2,550.0	66.0%	1,683.0
Q4 2028	Cupola/AV and other small operating revenue	134.3	50.0%	67.1
Q1 2029	Mature BMC families	248.2	70.0%	173.7
Q1 2029	AST2700 and successor BMC families	9,512.8	65.5%	6,230.9
Q1 2029	SMC, PRoT and I/O management devices	2,700.0	65.0%	1,755.0
Q1 2029	Cupola/AV and other small operating revenue	138.0	50.0%	69.0
Q2 2029	Mature BMC families	211.5	70.0%	148.1
Q2 2029	AST2700 and successor BMC families	9,832.5	65.5%	6,440.3
Q2 2029	SMC, PRoT and I/O management devices	2,850.0	65.0%	1,852.5
Q2 2029	Cupola/AV and other small operating revenue	142.1	50.0%	71.1
Q3 2029	Mature BMC families	171.1	70.0%	119.8
Q3 2029	AST2700 and successor BMC families	10,046.4	65.5%	6,580.4
Q3 2029	SMC, PRoT and I/O management devices	3,000.0	65.0%	1,950.0
Q3 2029	Cupola/AV and other small operating revenue	146.3	50.0%	73.1
Q4 2029	Mature BMC families	129.7	70.0%	90.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2029	AST2700 and successor BMC families	10,262.6	65.5%	6,722.0
Q4 2029	SMC, PRoT and I/O management devices	3,150.0	65.0%	2,047.5
Q4 2029	Cupola/AV and other small operating revenue	150.4	50.0%	75.2
Q1 2030	Mature BMC families	85.6	70.0%	59.9
Q1 2030	AST2700 and successor BMC families	10,253.2	64.0%	6,562.1
Q1 2030	SMC, PRoT and I/O management devices	3,270.0	64.0%	2,092.8
Q1 2030	Cupola/AV and other small operating revenue	154.5	50.0%	77.3
Q2 2030	Mature BMC families	86.5	70.0%	60.5
Q2 2030	AST2700 and successor BMC families	10,363.5	64.0%	6,632.6
Q2 2030	SMC, PRoT and I/O management devices	3,390.0	64.0%	2,169.6
Q2 2030	Cupola/AV and other small operating revenue	159.2	50.0%	79.6
Q3 2030	Mature BMC families	87.4	70.0%	61.2
Q3 2030	AST2700 and successor BMC families	10,473.8	64.0%	6,703.2
Q3 2030	SMC, PRoT and I/O management devices	3,510.0	64.0%	2,246.4
Q3 2030	Cupola/AV and other small operating revenue	163.8	50.0%	81.9
Q4 2030	Mature BMC families	88.3	70.0%	61.8
Q4 2030	AST2700 and successor BMC families	10,584.0	64.0%	6,773.8
Q4 2030	SMC, PRoT and I/O management devices	3,630.0	64.0%	2,323.2
Q4 2030	Cupola/AV and other small operating revenue	168.5	50.0%	84.2

Operating-cost derivation

Quarter	R&D, design tools and amortization before profit bonus	Sales and application support	Administrative and compliance before profit bonus	Share-based compensation reserve	Profit-linked employee and director compensation
Q3 2026	380.0	71.8	100.0	5.0	249.0
Q4 2026	380.0	100.5	100.0	5.0	354.3
Q1 2027	448.4	113.6	108.0	5.5	397.5
Q2 2027	448.4	126.3	108.0	5.5	446.8
Q3 2027	448.4	139.4	108.0	5.5	497.8
Q4 2027	448.4	151.2	108.0	5.5	543.8
Q1 2028	529.1	158.2	116.6	6.1	560.9
Q2 2028	529.1	166.9	116.6	6.1	594.8
Q3 2028	529.1	175.8	116.6	6.1	629.1
Q4 2028	529.1	184.7	116.6	6.1	663.6
Q1 2029	624.4	189.0	126.0	6.7	655.4
Q2 2029	624.4	195.5	126.0	6.7	680.3
Q3 2029	624.4	200.5	126.0	6.7	698.9
Q4 2029	624.4	205.4	126.0	6.7	717.6
Q1 2030	736.7	206.5	136.0	7.3	693.5
Q2 2030	736.7	210.0	136.0	7.3	706.7
Q3 2030	736.7	213.5	136.0	7.3	719.9
Q4 2030	736.7	217.1	136.0	7.3	733.1

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q3 2026	ASP-SATELLITE	45%	0.0	0.0	0.0	0.0
Q3 2026	ASP-PRICE	30%	0.0	0.0	0.0	0.0
Q3 2026	ASP-EXECUTION	25%	-0.0	-0.0	-0.0	0.0
Q4 2026	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q4 2026	ASP-SATELLITE	45%	0.0	0.0	0.0	0.0
Q4 2026	ASP-PRICE	30%	0.0	0.0	0.0	0.0
Q4 2026	ASP-EXECUTION	25%	-0.0	-0.0	-0.0	0.0
Q1 2027	ASP-MIX	55%	489.9	318.1	46.5	149.4
Q1 2027	ASP-SATELLITE	45%	68.8	39.7	9.8	13.4
Q1 2027	ASP-PRICE	30%	11.8	8.9	1.0	2.4
Q1 2027	ASP-EXECUTION	25%	-746.5	-570.9	-51.4	-129.9
Q2 2027	ASP-MIX	55%	511.2	331.9	48.5	155.9
Q2 2027	ASP-SATELLITE	45%	68.8	39.7	9.8	13.4
Q2 2027	ASP-PRICE	30%	9.9	7.4	0.8	2.0
Q2 2027	ASP-EXECUTION	25%	-830.9	-634.4	-57.1	-144.3
Q3 2027	ASP-MIX	55%	532.5	345.8	50.5	162.4
Q3 2027	ASP-SATELLITE	45%	68.8	39.7	9.8	13.4
Q3 2027	ASP-PRICE	30%	8.1	6.1	0.7	1.6
Q3 2027	ASP-EXECUTION	25%	-917.9	-700.0	-63.0	-159.2
Q4 2027	ASP-MIX	55%	553.8	359.6	52.5	168.9
Q4 2027	ASP-SATELLITE	45%	68.8	39.7	9.8	13.4
Q4 2027	ASP-PRICE	30%	6.9	5.2	0.6	1.4
Q4 2027	ASP-EXECUTION	25%	-996.3	-759.3	-68.3	-172.7
Q1 2028	ASP-MIX	55%	278.0	180.5	26.4	84.8
Q1 2028	ASP-SATELLITE	45%	137.5	79.4	19.7	26.9
Q1 2028	ASP-PRICE	30%	8.6	6.5	0.7	1.7
Q1 2028	ASP-EXECUTION	25%	-1,042.2	-791.9	-71.3	-180.1

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	ASP-MIX	55%	284.9	185.0	27.0	86.9
Q2 2028	ASP-SATELLITE	45%	137.5	79.4	19.7	26.9
Q2 2028	ASP-PRICE	30%	7.6	5.7	0.6	1.5
Q2 2028	ASP-EXECUTION	25%	-1,100.1	-835.5	-75.2	-190.1
Q3 2028	ASP-MIX	55%	291.9	189.5	27.7	89.0
Q3 2028	ASP-SATELLITE	45%	137.5	79.4	19.7	26.9
Q3 2028	ASP-PRICE	30%	6.5	4.8	0.6	1.3
Q3 2028	ASP-EXECUTION	25%	-1,158.6	-879.5	-79.2	-200.1
Q4 2028	ASP-MIX	55%	298.9	194.0	28.3	91.1
Q4 2028	ASP-SATELLITE	45%	137.5	79.4	19.7	26.9
Q4 2028	ASP-PRICE	30%	5.3	4.0	0.5	1.1
Q4 2028	ASP-EXECUTION	25%	-1,217.7	-923.9	-83.1	-210.2
Q1 2029	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q1 2029	ASP-SATELLITE	45%	206.2	119.1	29.5	40.3
Q1 2029	ASP-PRICE	30%	2.0	1.5	0.2	0.4
Q1 2029	ASP-EXECUTION	25%	-623.0	-464.1	-41.8	-105.6
Q2 2029	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q2 2029	ASP-SATELLITE	45%	206.2	119.1	29.5	40.3
Q2 2029	ASP-PRICE	30%	1.7	1.3	0.1	0.3
Q2 2029	ASP-EXECUTION	25%	-644.7	-480.1	-43.2	-109.2
Q3 2029	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q3 2029	ASP-SATELLITE	45%	206.2	119.1	29.5	40.3
Q3 2029	ASP-PRICE	30%	1.4	1.0	0.1	0.3
Q3 2029	ASP-EXECUTION	25%	-660.9	-492.0	-44.3	-111.9
Q4 2029	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q4 2029	ASP-SATELLITE	45%	206.2	119.1	29.5	40.3
Q4 2029	ASP-PRICE	30%	1.0	0.8	0.1	0.2
Q4 2029	ASP-EXECUTION	25%	-677.1	-504.0	-45.4	-114.6
Q1 2030	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q1 2030	ASP-SATELLITE	45%	275.0	158.8	39.3	53.7
Q1 2030	ASP-PRICE	30%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	ASP-EXECUTION	25%	-680.4	-497.0	-44.7	-113.1
Q2 2030	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q2 2030	ASP-SATELLITE	45%	275.0	158.8	39.3	53.7
Q2 2030	ASP-PRICE	30%	0.0	0.0	0.0	0.0
Q2 2030	ASP-EXECUTION	25%	-692.0	-505.4	-45.5	-115.0
Q3 2030	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q3 2030	ASP-SATELLITE	45%	275.0	158.8	39.3	53.7
Q3 2030	ASP-PRICE	30%	0.0	0.0	0.0	0.0
Q3 2030	ASP-EXECUTION	25%	-703.6	-513.9	-46.2	-116.9
Q4 2030	ASP-MIX	55%	0.0	0.0	0.0	0.0
Q4 2030	ASP-SATELLITE	45%	275.0	158.8	39.3	53.7
Q4 2030	ASP-PRICE	30%	0.0	0.0	0.0	0.0
Q4 2030	ASP-EXECUTION	25%	-715.1	-522.3	-47.0	-118.8

Claim decisions, overlap and triggers

ASP-MIX

p: 0.55

signal: AST2700 begins contributing, Q4 2026 guidance steps up, and customers are adopting more capable management processors.

Conditional: Ten additional percentage points of BMC unit mix move from mature to new-generation chips in 2027; five points in 2028; zero thereafter.

scope: Same total BMC units as reference. New-generation revenue and gross profit replace mature-chip revenue and gross profit one-for-one. The reference already has 65-82% new mix in 2027 and 86-92% in 2028; this branch is only faster conversion.

bridge: Unit delta x (new ASP minus mature ASP); GP uses the difference of the two products' ASP x GM, then deducts 4% of incremental revenue for qualification/support plus 9% of the remaining incremental pretax operating contribution for employee/director compensation.

timing: Only 2027-28 accepted shipments; no 2026 increase above the observed sales and guided reference.

counter: No disclosed quarterly AST2700 unit share or ASP. Firmware qualification can defer migration; reference adoption is already ambitious.

ASP-SATELLITE

p: 0.45

signal: AST1840 is a named ASPEED-Lattice commercial product, and the architecture supports satellite controllers on separate CPU cards.

Conditional: An additional 1m/2m/3m/4m annual device opportunities in 2027/2028/2029/2030, at assumed NT$800 per integrated device, less NT$250 of displaced ASPEED I/O content; 50% further overlap with reference peripheral growth.

scope: No extra central BMCs, no multiplication by GPU count and no standalone FPGA revenue claim. Net conditional annual revenue is NT$275m/550m/825m/1,100m after displacement and overlap.

bridge: Integrated product GP at 60% less displaced product GP at 65%, multiplied by 50% non-overlap; application/qualification expense at 10% of incremental net revenue plus the 9% compensation charge on remaining GP.

timing: Ramped over full calendar years beginning 2027. May 2026 release expected Q3 availability, whereas the earlier management roadmap labels 2027 production readiness. No assumed large shipment at introduction.

counter: Customer board designs, contractual partner economics, ASP, wafer allocation and qualified good-unit capacity are not disclosed. The reference peripheral line is already growing strongly.

ASP-PRICE

p: 0.3

signal: Annual-report disclosure says upstream capacity can constrain delivery despite order visibility; platform qualification raises switching costs and the customer cost of waiting.

Conditional: 5%/8%/4% price premiums in 2027/2028/2029, then zero in 2030, on 20% of mature-BMC reference sales.

scope: Only repriceable legacy contracts. Mix migration takes units from the other 80% of mature BMC units, keeping the two pools disjoint. No increase on the AST2700 mix pool, no price premium on all backlog and no official same-SKU price-rise claim. No 2026 premium because current actuals/guidance already anchor the quarter.

bridge: 75% incremental GP after wafer, package and expedite costs; 2% commercial/support expense plus 9% compensation on remaining contribution. Pure price premiums do not increase physical output.

timing: New or renegotiated delivered orders; fade reflects substitute capacity and customer bargaining.

counter: Q4 GM guidance is below Q2 actual GM. Product transitions and USD/TWD can absorb pricing power; supplier costs can rise faster than realized price.

ASP-EXECUTION

p: 0.25

signal: One direct supplier represented 98.18% of purchases, platform qualifications take time, and the reference requires more controllers and higher content.

Conditional: 10% delayed or lost reference BMC/peripheral revenue plus one percentage point of extra cost on the remaining sales in 2027-28; half this shock in 2029-30.

scope: One combined shortage/qualification/cycle event. No second volume, utilization or capacity penalty for the same units. Cupola revenue is unaffected and fixed design/admin expense remains.

bridge: Lost sales lose product-specific GP; surviving sales incur the one-point cost. Only profit-linked employee/director compensation falls, by 9% of lost operating contribution; no release of fixed R&D.

timing: 2027 onward. Q3 2026 monthly sales are observed, and Q4 is kept at the guided midpoint.

counter: Established qualifications, outsourced production and current high cash generation help, but no complete good-unit capacity schedule or take-or-pay allocation was disclosed.

Remaining bounded uncertainties

- No quarterly shipment, generation mix, AST2700 ASP or total qualified good-unit capacity is disclosed. Absolute modeled units and ASPs are calibrated proxies; the reference itself requires strong growth.

- The two latest distinct management presentations were retrieved and read. The June event links a public video, but complete management Q&A transcripts were not available. September events using the same slides are not independent evidence.

- Q3 2026 revenue is the sum of three issuer monthly releases; Q3 gross margin, operating expense and earnings remain unreported. October-December zeros in the API mean not yet released, not zero sales.

- The Q4 2026 midpoint uses the September management outlook at USD/TWD32. The earlier June Q3 guidance is superseded by observed monthly revenue, not carried forward as current guidance.

- The source product table lists June 2026 launch, while the March annual report says initial AST2700 revenue had begun. Early contributions, formal launch, customer qualification and volume ramp have different dates.

- The earlier roadmap places AST1840 production-ready in 2027, whereas the May joint release expected Q3 2026 availability. Commercial volume, partner transfer price/royalties and customer-specific qualifications remain undisclosed.

- Cupola ownership is 90.76% from April 2026, but standalone operating profit is not disclosed. The model reserves 9.24% of estimated Cupola/AV operating contribution; operating branches do not affect that business.

- Annual-report R&D budget NT$1,146.192m was an early plan; H1 actual R&D was already NT$778.463m. The forecast allows higher spending and retains IFRS compensation expense rather than freezing that stale budget.

- The stock bonus is reflected once in current shares. The 0.05m current employee-share reserve plus 0.05m annual prospective awards are assumptions, not announced issuance. Historical canceled restricted shares are not subtracted again.

- The H1 review qualification relates to unreviewed non-significant subsidiaries; assets were 3.49% of group assets and H1 comprehensive income 4.33%. No evidence of a quantified misstatement was identified.

- The annual report describes USD purchases and natural hedging, whereas H1 note 31 says almost 99% of costs were in group functional currency. Do not presume complete transactional hedging; Q4 guidance explicitly conditions on FX.

- The financial model is an operating-profit multiple without cash addition. Treasury investments and interest gains are not capitalized again. A full all-in enterprise valuation would require a separate methodology decision.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] H1 2026 reviewed consolidated financial statements, Chinese original | 2026-08-05 | https://www.aspeedtech.com/file/report/2026Q2Report_tw.pdf | Archived SHA-256: 566d02c72faa6ed1edec139416f77518f0619ec6dbd1334547568c03acda53ee

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[3] Q1 2026 reviewed consolidated statements | 2026-05 | https://www.aspeedtech.com/file/report/2026Q1Report_en.pdf | Archived SHA-256: 7ffc98fe88a6795d7220a0e25c14d06bf37e2baba796a244e7bef7784648fb71

[4] 2025 annual report, controlling Chinese original | 2026-03-30 | https://www.aspeedtech.com/file/report/2025AnnualReport_tw.pdf | Archived SHA-256: 8f381c523ee0caf6efb2e2269ed91426394bf31c620eb751e53164f82e76261e

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[7] September 2026 investor conference presentation and Q4 outlook | 2026-09-08 | https://www.aspeedtech.com/file/calendar/1788796800000_InvestorConferenceBrief_en.pdf | Archived SHA-256: e37fb5a9a2887be3b0eb9455d8178e469c5d5713492226a9b104a6998b0d267f

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[9] Issuer financial-information API: monthly revenue through September | 2026-10-05 | https://www.aspeedtech.com/app/1/financial_infos?years=2026 | Archived SHA-256: 05336335a0ffc9d4e3b9eb59206700f568fca5e4f11b97cb4df1cabd9472e14a

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[12] Taipei Exchange October 6 quote and exact issued shares | 2026-10-06 | https://www.tpex.org.tw/www/zh-tw/afterTrading/dailyQuotes?date=2026/10/06&id=5274&response=json | Archived SHA-256: f797b9d4ebb0d8368a00851004f441ff67ecbaa984caacc74adc1b189e09dee5

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